MDM: Financial Technology (S.Y. SEM: III)

Chapter No. 3 Introduction to Fintech Ecosystem

Q1. Explain evolution of Fintech india in last 2-3 decades ?

The **evolution of fintech in India** is one of the most successful digital transformation stories in the world. Driven by robust government policies, pioneering public infrastructure, and explosive smartphone adoption, India has built the third-largest fintech ecosystem globally.

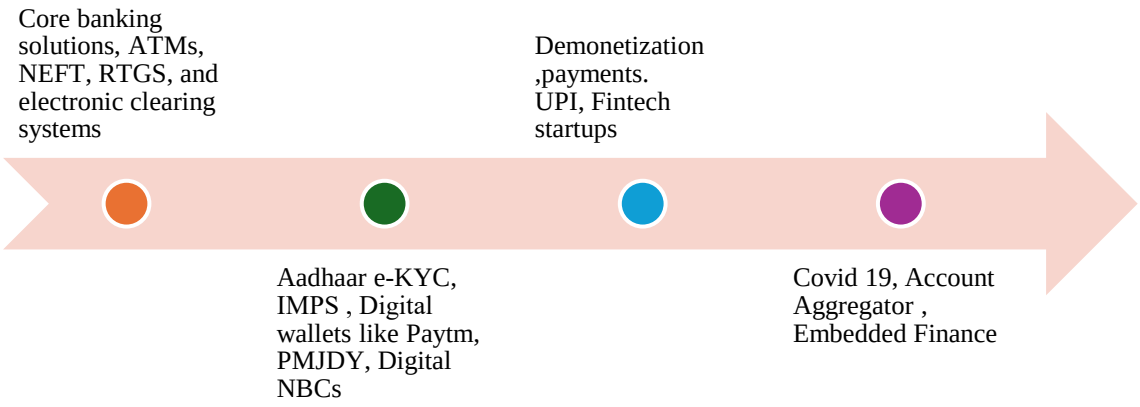
The 4 Major Phases of India's Fintech Journey:

- **Foundation Phase (Pre-2000s)**
  - Core banking solutions, ATMs, NEFT, RTGS, and electronic clearing systems laid the foundation for digital transactions.

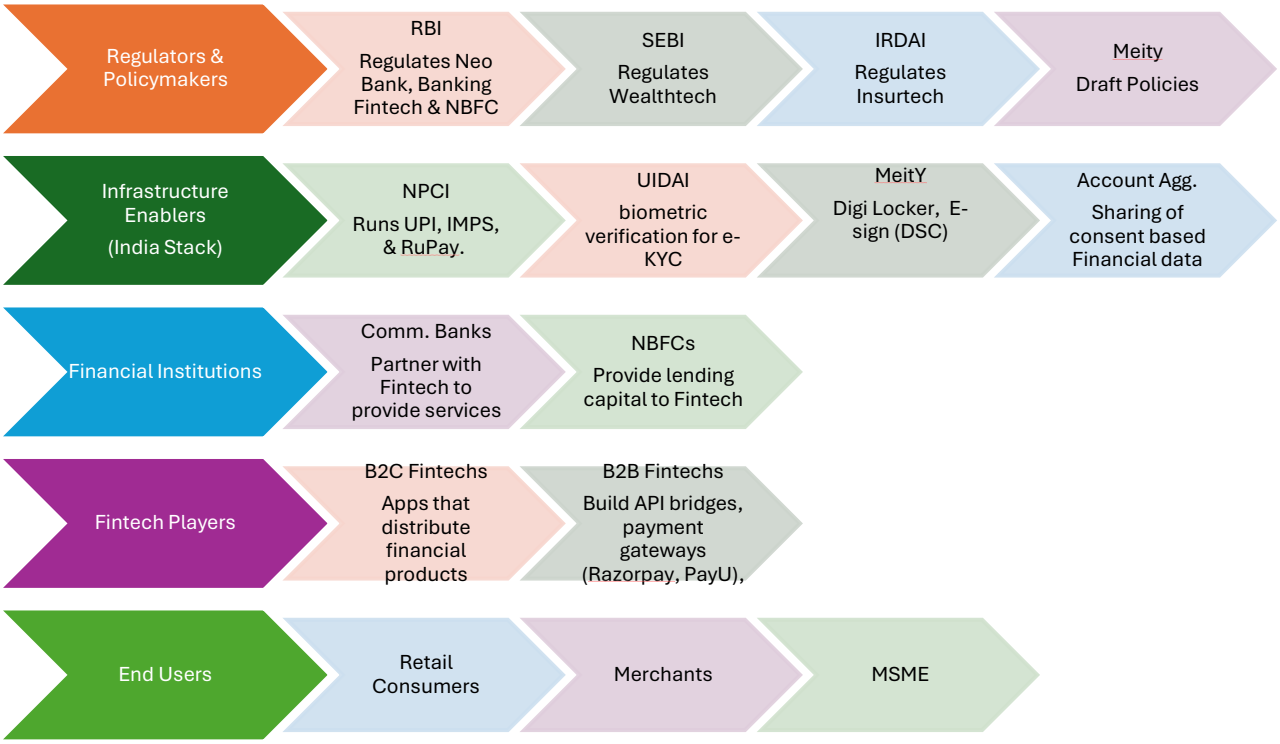
- **Growth Phase (2000-2015)**
  - Aadhaar e-KYC from 2012 enabled fintech growth.
  - IMPS for real-time transactions
  - Traction for Digital wallets like Paytm
  - PMJDY expanded financial inclusion.
    Digital NBCs (Bajaj Finserv) increased credit access.

- **Acceleration Phase (2016-2020)**
  - Demonetization boosted digital payments.
    UPI transformed fund transfers.
    Fintech startups in lending, wealth management, and insurance thrived.

- **Current Phase (2020-Present)**
  - COVID-19 accelerated digital banking and contactless payments.
  - The Account Aggregator Framework streamlined financial data sharing.
  - Embedded finance (Amazon – IDFC Bank BNPL), and RuPay Credit Card-linked UPI (Credit card on Google pay) payments gained momentum



Q2. Draw a schematic about various stakeholders in Fintech industry in india and what role they have played in Fintech Ecosystem?



Regulators & Policymakers
They formulate monetary policies, guidelines, and compliance frameworks to govern digital transactions.
Bodies like the RBI, SEBI, and IRDAI ensure financial stability, user data protection, and market safety.
They support controlled innovation through regulatory sandboxes while safeguarding consumer interests.

Infrastructure Enablers (India Stack)
They build open-access digital public infrastructure like Aadhaar, UPI, and Account Aggregator networks.
These foundational rails significantly lower transaction costs and enable paperless identity verification.
They allow market participants to easily integrate and deploy scalable financial technologies.

Financial Institutions
Traditional banks and NBFCs supply the necessary capital, balance sheets, and regulatory licenses.
They partner with fintech startups to offer co-lending, co-branded products, and open banking APIs.
They provide the underlying vault security and regulatory trust for managing customer funds.

Fintech Players
They design user-friendly digital platforms across payments, wealth management, and lending.
Using alternative data and AI, they simplify financial workflows and extend credit to underserved populations.
They drive market competition and continuous innovation to deliver frictionless financial products.

End Users
Comprising retail consumers, Kirana stores, MSMEs, and large business enterprises.
They drive ecosystem growth through the rapid adoption of digital payments, credit, and investments.
Their changing usage behaviours and demands shape future product features and network expansion.

Q3. How Fintech Industry in India is solving issues faced by Banks related to financial inclusion, bridging credit gap, lower transaction cost & digitisation of informal economy?

The **fintech industry in India** has evolved from being a competitor to banks into their primary innovation partner. By leveraging public infrastructure like the **India Stack**, fintech companies have created scalable systems that solve structural bottlenecks traditionally faced by legacy banking.
Here is how fintech solves these four critical banking challenges:

Purpose	Issue	Solution
Driving financial inclusion	Lack of nearby physical bank in rural India	Fintech allows rural people to check balances, transfer money, and receive government benefits directly on their phones.
	Lack access to Financial Products	Fintech platforms have made complex financial products like mutual funds, insurance, and stock trading accessible to people living outside major metro cities.
Bridging the credit gap	Banks require extensive paper work & collateral to give a loan.	Fintech lenders use alternative data like transaction histories to offer instant micro-loans to street vendors & small business owners.
	MSMEs often face cash flow shortages.	Fintech platforms provide them with quick working capital without the long waiting periods of traditional banks.
Lowering transaction costs	Higher Bank charges & higher processing time for Money transfer through Banks	Fintech apps have made peer-to-peer and merchant payments completely free and instantaneous through UPI
	High cost of Customer onboarding for Banks	Digital identity verification (e-KYC) allows companies to onboard customers in minutes for a fraction of the cost of physical verification
Digitising the informal economy	No System traceability for Cash transaction	When a local shopkeeper accepts payments via a QR code, they create a digital transaction history which helps them prove their income to institutional lenders when they need a business loan.
	Lower collection of taxes due to cash economy	Moving away from cash reduces the circulation of counterfeit currency, lowers the cost of printing physical notes, and helps the government better track and collect taxes

Q4. Explain Fintech Business Models in brief ?



1. Digital Payments & Gateway Models

- **Payment Gateways / Processors (MDR Model**): Platforms like Razorpay or Cashfree enable online businesses to accept credit cards, net banking, and wallets. They charge a Merchant Discount Rate (MDR)**,** taking a small percentage (usually 1% to 3%) of each processed transaction.

- **Value-Added SaaS + Hardware:** Because UPI transactions are free for users and merchants, companies like Paytm and PhonePe monetize offline payments by charging monthly subscription fees for **Soundboxes** and Point-of-Sale (PoS) card machines.

2. Digital Lending Models

- **Peer-to-Peer (P2P) Lending:** Platforms like Faircent match individual lenders directly with borrowers. The platform takes an upfront processing fee from the borrower and a small management fee from the investor's returns.
- **Co-Lending / NBFC Model:** Digital lenders like Lendingkart use proprietary algorithms to evaluate risk. They partner with large traditional banks, sourcing the customer and taking a small percentage of the risk, while earning an interest rate spread or a sourcing commission.

3. WealthTech & Brokerage Models

- **Discount Brokerage:** Firms like Zerodha **or** Groww eliminate commissions on long-term equity investments. Instead, they charge flat fee subscription models or a low flat rate (e.g., ₹20) for intraday, options, and futures trading**.**
- **Robo-Advisory & Wealth SaaS:** Automated investment platforms bundle mutual funds and portfolios into curated buckets (like smallcase**),** charging a flat management fee or subscription cost for premium research and rebalancing algorithms.

4. InsurTech Models

- **Digital Aggregators:** Portals like **Policybazaar** list policies from dozens of insurers. They operate on a commission-based marketplace model**,** earning payouts from insurance companies for every policy sold through their platform.
- **Neo-Insurance Platforms:** Companies work with underwriters to build hyper-customized, micro-insurance products (like single-trip flight delay insurance) and earn a direct percentage of the premium collected.

5. Neo-Banking

- **Partner-Bank Neo-Banking:** Since India does not issue standalone virtual banking licenses, platforms like Fi **or** Jupiter partner with licensed banks (e.g., Federal Bank). They split the revenue earned from interchange fees on debit cards, cross-selling investment products, and interest shares on savings deposits.

Q5. What is Crypto currency related challenges in India ?

While cryptocurrency is legal to hold and trade in India, it is formally classified as a Virtual Digital Asset (VDA) and faces an intensely controlled regulatory environment.
The primary challenges relating to cryptocurrency in India can be divided into four major categories:

1. The Highly Restrictive Taxation Framework

- **Flat 30% Profit Tax:** Under the income tax laws, any profit made from transferring or selling crypto is taxed at a flat rate of **30%**.
- **No Loss Offsets:** Investors are legally prohibited from offsetting losses from one crypto transaction against gains made on another. For example, if you make a ₹50,000 profit on Bitcoin but lose ₹50,000 on Ethereum, you still owe 30% tax on the ₹50,000 profit.
- **1% Tax Deducted at Source (TDS):** Every single transaction above ₹10,000 triggers a mandatory **1% TDS**. This lockup of working capital heavily drains liquidity, especially for high-frequency or day traders.

2. Regulatory Stance & Lack of "Legal Tender" Status

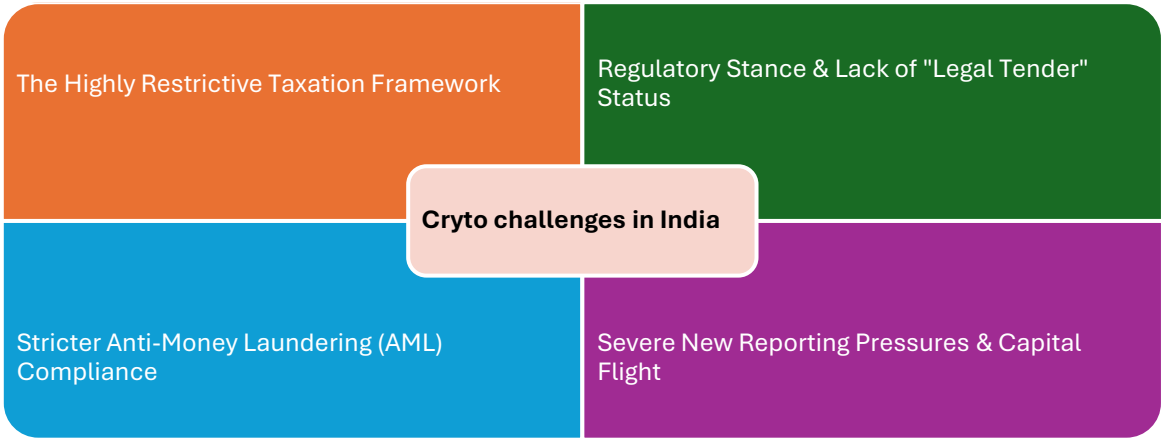
- **Opposition from the Reserve Bank of India (RBI):** The RBI maintains a firm stance leaning toward the absolute prohibition of private cryptocurrencies. The central bank frequently warns that decentralized coins threaten India's **monetary sovereignty, macroeconomic stability**, and the banking system, prioritizing its own central bank digital currency, the **e-Rupee**, instead.
- **No Safety Net:** Crypto has explicitly not been granted the status of legal tender. It is treated similarly to property. If a retail investor is defrauded or an exchange collapses, there is no specialized regulatory body (like SEBI for stocks) to guarantee investor protection or civil recourse.

3. Stricter Anti-Money Laundering (AML) Compliance

1. **FIU-IND Registration:** The Financial Intelligence Unit (FIU-IND) mandates that all virtual asset service providers (domestic or offshore) register as "Reporting Entities" under the **Prevention of Money Laundering Act (PMLA)**. Unregistered offshore exchanges face immediate URL blocking and severe penalties, adding operational compliance friction.

4. Severe New Reporting Pressures & Capital Flight

- **Aggressive Tracking Audits:** The **Income-tax Act** enforces strict mandatory transparency. Failing to provide accurate itemized transaction summaries triggers hefty penalties. The government proactively cross-checks self-reported taxpayer data with automatic data trails provided directly by custodians and wallets.



Q6. What are the Key Drivers of Fintech growth in India?

Reason	Particulars
Venture capital influx	Massive institutional capital turned local startups like into multi-billion-dollar enterprises.
Digital public infrastructure and India Stack	**Presence Less Layer:** Identification of Individuals through Aadhar **Paper Less Layer :**Registering New Customers through Aadhar eKYC, Digi Locker & E-sign (Digital Signature) **Cash Less Layer:** Facilitate Digital payments through UPI , AePS (No Smartphone required for DBT, Cash Withdrawal etc.) **Consent Less Layer:**Privacy Data Sharing Network in pipeline (Account Aggregator is a part of this)
Demographic dividend	Median Age in India is 28 years which is a young, smartphone-first population eager to adopt digital platforms over visiting physical bank branches
Internet Penetration	India features over 1 billion internet users utilizing highly affordable mobile data plans
AI-powered underwriting	Platforms leverage alternative data streams like GST filings and UPI history to score individuals and MSMEs lacking credit footprints.
Small-ticket personal loans	FinTech non-banking financial companies (NBFCs) manage nearly 90% of small-ticket personal loan volume, proving critical for younger demographics.
Democratisation of investment and insurance	Technology is opening complex financial wealth assets to mainstream consumers
Wealthtech scaling	Discount brokerages and robo-advisory tools lower entry barriers, enabling millennials and Gen-Z users to access mutual funds and fractional stock investments.

Q7. What is the role of Tech Companies in Finance?

The three core roles of tech companies in finance are as follows :

- **Consumer-facing frontends :** (The distributors)Big tech companies and specialized startups act as the direct interface for millions of users, simplifying complex financial journeys through intuitive mobile apps.
  1. **Payment interfaces**
     Companies like Google (Google Pay), Walmart (PhonePe), and WhatsApp Pay use the UPI network to facilitate trillions of rupees in transactions. They do not hold the money; they merely initiate the transfer between the consumer's bank and the merchant's bank.
  2. **Co-branded credit and embedded finance**
     E-commerce and tech platforms partner with banks to offer financial products right at the point of sale. Examples include Amazon Pay ICICI credit cards, Flipkart Pay Later options, and Zomato instant insurance for food deliveries
  3. **Lead generation**
     Platforms like Paisabazaar or Policybazaar act as digital marketplaces, matching consumers with banks and insurance companies for a distribution fee.

- **Lead generation :** Platforms like Paisabazaar or Policybazaar act as digital marketplaces, matching consumers with banks and insurance companies for a distribution fee.
  1. **Alternative data scoring:**
     Lending tech companies analyze an individual's / small business's digital footprints (like digital sales velocity, utility bill payment consistency, and device data) to assess creditworthiness.
  2. **Partnerships:**
     Tech companies partner with **NBFCs** (Non-Banking Financial Compani es) and commercial banks. The tech company builds the app, finds the customer, and handles the initial risk assessment, while the regulated bank provides the actual loan capital.

- **Backend infrastructure providers (The enablers) :** A huge segment of tech companies operates entirely behind the scenes, selling software-as-a-service (**SaaS**) and infrastructure to traditional financial institutions.
  1. **Payment gateways:**
     Companies like **Razorpay**, Cashfree, and Pine Labs build the secure APIs and terminal hardware that allow online and offline merchants to accept cards, net banking, and UPI.
  2. **Identity and onboarding**
     Deep-tech companies provide automated **e-KYC**, video-KYC, and AI-driven document verification systems, reducing customer onboarding times for banks from days to under five minutes.
  3. **Cybersecurity and fraud detection:**
     Enterprise tech firms provide real-time transaction monitoring systems to traditional banks to catch fraudulent activities, phishing attempts, and money laundering patterns.

Q8. Explain how Policy bazaar disrupted Insurance Sector in India ?

Policybazaar (operated by PB Fintech) radically disrupted the Indian insurance sector by transforming a traditionally agent-driven "push" market into a consumer-centric, transparent digital ecosystem. Before Policybazaar's entry in 2008, the Indian insurance landscape was heavily fragmented, plagued by mis-selling, and controlled by brick-and-mortar legacy agents whose primary goal was maximizing their personal commissions rather than consumer well-being.

Policybazaar dismantled this structure through five core strategies:

1. Shifting from a "Push" Model to a "Pull" Marketplace

Historically, insurance in India was sold via aggressive direct face-to-face pitches, often masquerading as tax-saving investments. Policybazaar completely inverted this by creating an information-rich comparison platform. They aggregate hundreds of products from dozens of private and public insurance brands on one interface. This enabled consumers to log in, compare policies side-by-side, analyze critical metrics, and choose insurance products *voluntarily* based on their own needs.

2. Democratizing Information & Price Discovery

Prior to Policybazaar, finding exact details on premiums, riders, and medical exclusions was incredibly difficult without calling an agent. By listing detailed, objective breakdowns of premiums, inclusions, exclusions, and **Claim Settlement Ratios (CSR)** transparently, Policybazaar drove mass consumer awareness. This price transparency sparked healthy, aggressive price competition among major insurance providers, directly lowering insurance premiums for the average end consumer.

3. Championing Low-Margin "Term Life" and Health Insurance

Legacy offline agents frequently pushed complex, high-premium unit-linked plans (ULIPs) or endowment schemes because they yielded the highest distribution payouts. They rarely sold high-coverage, low-margin **pure term life insurance** or standalone health policies. Policybazaar aggressively marketed term insurance as a vital security shield for families. They built the infrastructure for zero-cost or deeply discounted term plans, making massive multi-million rupee life covers accessible for nominal monthly outlays.

4. Overhauling Post-Sales Claims Operations

The ultimate pain point of the traditional system was filing and securing claims, which often required running between local branches and agent networks. Policybazaar bridged this gap by designing dedicated post-sale infrastructure. Through specialized operational layers—like digital automated claims support, emergency hospital and network garage locators on their mobile app, and their

specialized "PB Care" vertical—they eliminated friction, ensuring customers did not have to handle daunting administrative claim procedures alone during an emergency.

5. An Asset-Light Scaling Framework

Unlike insurance companies that face extensive liabilities, Policybazaar relies on a highly scalable, **asset-light marketplace architecture**. They do not assume the underlying insurance risk or underwrite the asset liability themselves. They leverage vast SEO pipelines and massive algorithmic digital distribution networks to capture the vast majority of online traffic, allowing their platform to expand revenue at lower marginal costs than legacy, human-capital-intensive agent operations.

Q9. What is Business Model of Cred ? How did it became so successful in acquiring customers ?

Business Model of CRED

CRED operates as a gated, trust-tech and lifestyle platform centered around high-credit-score individuals (CIBIL score of 750 or above). Instead of charging consumers direct fees to pay their credit card bills, CRED uses the utility of free bill payments to curate an affluent, low-risk audience and monetizes that captive database through several channels:

- **Brand Partnerships & Listing Fees:** Premium lifestyle, D2C, and luxury brands pay CRED listing fees or commission fees to showcase products, exclusive drops, and discount vouchers inside the CRED Store or via gamified "coin-burning" rewards.
- **Financial Products & Lending:** The platform cross-sells high-margin financial services to its creditworthy user base, including personal loans (CRED Cash), score-linked credit lines (CRED Stash), and P2P lending/savings products (CRED Mint), earning interest and referral commissions.
- **Transaction & Processing Fees:** CRED charges 1% to 1.5% transaction fees on specialized services like RentPay (paying house rent via credit card) and other merchant/payment integrations.
- **Insurance & Wealth Services:** It earns referral and advisory income by distributing insurance policies and exploring wealth management/stockbroking avenues.

How CRED Acquired Customers Successfully

CRED flipped the traditional customer acquisition funnel by targeting a pre-filtered demographic with high purchasing power: [

- **The 750+ CIBIL Gatekeeping:** By restricting entry strictly to users with a credit score of 750 or higher, CRED positioned itself as an "exclusive club" rather than a utility app, creating high aspirational value.
- **Gamified Rewards for Existing Behavior:** Instead of spending heavy capital on traditional ad banners to convince people to use a new tool, CRED rewarded users for an action they were already doing—paying their monthly credit card bills—via "CRED coins," cashbacks, and spin-the-wheel lotteries.
- **High-Decibel Viral Marketing:** CRED gained massive cultural and social media visibility through eccentric, high-production-value advertising campaigns (featuring retro icons and viral humor) that turned the brand into a talking point.
- **Cash-Burn for Acquisition:** Similar to growth-scale playbooks, CRED absorbed significant initial cash burn to subsidize rewards and hook an affluent cohort before layering on monetization products like lending and commerce.

Q10. Why Businesses are using Razor pay which is on a chargeable basis when Googlepay / Phonepay is available at no cost ?

The reason businesses pay for a premium gateway like Razorpay instead of relying solely on "free" customer-facing apps like Google Pay or PhonePe comes down to the core difference between a consumer payment app and enterprise-grade business infrastructure.

While a local store can function using a standard free UPI QR code, an online business, e-commerce store, or software platform requires automated backend scales that free apps simply do not provide.

1. Payment Methods (Beyond Just UPI)

A free Google Pay or PhonePe merchant setup primarily restricts you to standard, bank-to-bank UPI transfers. Razorpay provides a single integration that unlocks over 100 payment methods**,** including:

- Domestic and International Credit Cards/Debit Cards
- Corporate Credit Cards and Netbanking
- Buy Now Pay Later (BNPL) and EMI facilities
- International digital wallets (like global Google Pay/Apple Pay card integrations)

2. Website and App Integration (The Checkout Flow)

You cannot easily program a free consumer app to automatically verify an online order.

- **With Google Pay / PhonePe (Basic):** A customer sends you money, and you must manually check your phone to confirm they paid the correct amount before shipping the item.
- **With Razorpay:** It integrates directly into custom-built websites. The moment a customer pays, Razorpay uses automated data feeds to instantly tell your website to update the inventory, generate an invoice, and mark the order as "Paid" without human intervention.

3. Automated Subscriptions and Recurring Billing

If a business operates on a subscription model (like SaaS software, streaming, or monthly boxes), free UPI apps cannot handle automated recurring charges. Razorpay offers tools like UPI AutoPay and card e-mandates, allowing businesses to securely link and automatically debit a customer's account every month.

4. Smart Routing and Superior "Success Rates"

When thousands of transactions happen at once, bank servers frequently time out or fail. Razorpay utilizes smart infrastructure routing. If State Bank of India's servers are temporarily down, Razorpay instantly detects it and routes the payment backend through an alternative bank channel to ensure the payment doesn't fail. A 5% to 10% drop in failed payments captures massive amounts of otherwise lost revenue.

5. Advanced Refunds and Settlement Dashboards

Managing accounting for thousands of orders requires powerful tools. Razorpay provides businesses with dedicated dashboards to initiate instant customer refunds, generate tax-ready transaction history reports, split payments automatically to different vendor accounts, and manage fraud-screening algorithms



Q. 11 Explain the different platforms used in Financial Technology business models.

A FinTech platform is a digital system that uses technology to provide financial services such as payments, lending, investments, insurance and banking.
These platforms connect customers, businesses, banks and other financial institutions through websites, mobile applications and digital networks.
FinTech platforms make financial services faster, more accessible, convenient and cost-effective.

Different types of platforms used in FinTech business models

1. Digital Payment Platforms
Digital payment platforms allow individuals and businesses to transfer money and make payments electronically without using physical cash.
Major services:

- UPI-based payments.
- Debit and credit card payments.
- Mobile wallet transactions.
- QR code payments.
- Online payment gateways.
- Domestic and international money transfers.

Examples: Google Pay, PhonePe, Paytm and Razorpay.

2. Digital Lending Platforms
Digital lending platforms provide loans through online applications and websites. Customers can apply for loans without visiting a bank branch.
Major services:

- Personal loans.
- Business loans.
- Instant credit facilities.
- Buy Now Pay Later (BNPL).
- Peer-to-peer (P2P) lending.
- Loan eligibility assessment.

These platforms use customer information, transaction history and credit scores to evaluate loan applications.
Examples: Lendingkart, KreditBee and Faircent.

3. Digital Banking and Neobanking Platforms
Digital banking platforms provide banking services through mobile applications and websites.
Neobanks operate primarily through digital channels rather than traditional physical branches. In India, many neobanking platforms partner with licensed banks to provide banking services.
Major services:

- Digital account opening.
- Online money transfers.
- Balance checking.
- Debit card services.
- Digital savings accounts.
- Expense tracking and financial management.

Examples: Jupiter, Fi Money and Niyo.

4. Wealth Management and Investment Platforms
These platforms help customers invest and manage their money using digital applications.
Major services:

- Stock market trading.
- Mutual fund investments.
- Exchange-traded funds (ETFs).
- Portfolio management.
- Investment research.
- Robo-advisory services.

Robo-advisory platforms use algorithms to suggest investment portfolios based on the customer's financial goals and risk tolerance.
Examples: Groww, Zerodha and smallcase.

5. InsurTech Platforms
InsurTech platforms use technology to simplify insurance-related services.
Major services:

- Online insurance purchases.
- Comparison of insurance policies.
- Premium calculation.
- Digital policy management.
- Online claim submission.
- Insurance recommendations.

These platforms help customers compare policies from different insurance companies.
Examples: Policybazaar and Acko.

Q. 12 Describe the services offered by Stripe as a Financial Technology company.

Stripe is a global FinTech company that provides online payment processing and financial infrastructure to businesses. It was founded in 2010 by Patrick Collison and John Collison.
Stripe helps businesses accept payments, manage transactions, handle subscriptions and provide financial services through websites, mobile applications and software platforms.
It is mainly known for its developer-friendly APIs (Application Programming Interfaces), which allow businesses to integrate payment facilities into their applications.

2. Major services offered by Stripe
1. Online Payment Processing
Stripe enables businesses to accept payments through websites and mobile applications.
Features:

- Credit and debit card payments.
- Digital wallet payments.
- International payments.
- Multiple payment methods.
- Secure online checkout.
- Transaction processing and confirmation.

Example: An online shopping website can integrate Stripe so customers can purchase products using credit cards.

2. Payment Gateway Services

Stripe provides payment gateway facilities that connect customers, merchants and financial institutions.

Features:

- Secure payment information processing.
- Encryption of payment data.
- Payment authorisation.
- Transaction verification.
- Payment confirmation.
- Refund processing.

This helps businesses accept payments without developing their own payment infrastructure.

3. Subscription and Recurring Billing

Stripe Billing helps businesses collect recurring payments from customers.

Features:

- Monthly and yearly subscriptions.
- Automatic recurring payments.
- Subscription management.
- Invoice generation.
- Payment reminders.
- Management of failed payments.

Example: A software company offering a monthly subscription can use Stripe to automatically collect subscription fees from customers.

4. International Payments

Stripe supports businesses that want to accept payments from customers in different countries.

Features:

- International card payments.
- Multiple currencies.
- Local payment methods.
- Currency conversion support.
- Cross-border payment processing.

This allows businesses to sell products and services internationally.

5. Fraud Detection and Security

Stripe provides fraud detection services through a product called Stripe Radar.

Features:

- Detection of suspicious transactions.
- Machine-learning-based fraud analysis.
- Identification of unusual payment patterns.
- Risk assessment of transactions.

- Protection against fraudulent payments.

These facilities help businesses reduce financial losses caused by payment fraud.

Q. 13 Explain the role and services of Square in the Financial Technology ecosystem.

Square is a FinTech platform that provides payment processing, business management software and financial services to small and medium-sized businesses.
Square was founded in 2009 by Jack Dorsey and Jim McKelvey. It became popular for introducing a small card reader that allowed businesses to accept card payments using mobile devices.

Major services offered by Square

1. Point-of-Sale (POS) Payment Services
Square provides POS systems that allow businesses to accept payments from customers in physical stores.
Features:

- Credit and debit card payments.
- Contactless payments.
- Mobile wallet payments.
- Digital payment receipts.
- Transaction records.

Example: A restaurant can use Square POS to accept card payments from customers.

2. Card Reader and Payment Hardware
Square provides hardware devices that help businesses accept card payments.
Features:

- Card readers.
- Contactless payment terminals.
- POS registers.
- Receipt printers.
- Barcode scanners.

These devices help small businesses accept digital payments without developing their own payment systems.

3. Online Payment Services
Square enables businesses to accept payments through websites and online stores.
Features:

- Online checkout.
- E-commerce payment processing.
- Payment links.
- Online invoices.
- Digital payment acceptance.

Example: A clothing store can create an online store using Square and accept customer payments digitally.

4. Business Management Software
Square provides software to manage daily business activities.
Features:

- Sales tracking.
- Inventory management.
- Customer records.
- Business performance reports.
- Employee management.
- Product and order management.

These services help business owners manage their operations from a single platform.

5. Square Invoices
Square provides digital invoicing facilities to businesses.
Features:

- Creating and sending invoices.
- Online invoice payments.
- Tracking outstanding payments.
- Automatic payment reminders.
- Recurring invoices.

Example: A freelance designer can send an invoice to a customer and receive payment online.

Q. 14 Compare Stripe and Square in terms of their services and business models.

Sr. No.	Parameter	Stripe	Square
1	Founded	2010	2009
2	Founders	Patrick Collison and John Collison	Jack Dorsey and Jim McKelvey
3	Main Focus	Online payment processing and financial infrastructure.	Payment processing and business management solutions.
4	Target Customers	E-commerce companies, startups, online businesses and marketplaces.	Small businesses, retail shops, restaurants and service providers.
5	Payment Services	Online payments, international payments and digital wallets.	Card payments, contactless payments and online payments.
6	Hardware Services	Provides payment terminals through Stripe Terminal.	Provides card readers, POS terminals and payment registers.

7	Additional Services	Subscription billing, invoicing, fraud detection and marketplace payments.	Inventory management, payroll, invoicing and appointment booking.
8	Business Financing	Provides business financing through Stripe Capital.	Provides business loans through Square Loans.
9	Business Model	Mainly transaction fees, subscription fees and payment infrastructure services.	Transaction fees, hardware sales, software subscriptions and financial services.
10	Main Advantage	Flexible APIs, international payments and easy integration with websites and applications.	Integrated POS hardware, payment processing and business management tools.

End of Chapter No: 3